

ETS aviation extension compromise fails to impress

送信者: POLITICO Pro Morning Mobility Europe 受信日時: 2026-07-20 14:02

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Navigating the complex world of EU mobility policy and infrastructure. By JORDYN DAHL with TOMMASO LECCA and MARTINA SAPIO SNEAK PEEK — The European C

Navigating the complex world of EU mobility policy and infrastructure.

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SNEAK PEEK

— The European Commission’s decision to extend the Emissions Trading System to flights to Middle Eastern hubs drew criticism from all sides.

— Europe’s shipping industry cautiously backs the overhaul of the EU carbon market for maritime transport, but two points are set to dominate negotiations in the coming months.

— The Commission is weighing new trade measures to reduce Europe’s dependence on Chinese suppliers in sensitive sectors, including the automotive industry.

Good morning, and welcome to Morning Mobility.

This newsletter will be on hiatus until Wednesday, July 22.

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DRIVING THE DAY

COMMISSION LIMITS ETS EXTENSION TO MIDDLE EAST HUBS: The European Commission on Friday proposed extending the Emissions Trading System from 2029 only to flights departing the EU and landing at airports within a 5,000-kilometer radius of Frankfurt Airport, bringing mainly Middle Eastern hubs into the bloc’s carbon market. Tommaso has more .

Diplomatic matter: Asked how the Commission settled on the 5,000-kilometer threshold, which once again spares U.S. and Chinese airlines from paying under the ETS, Climate Commissioner Wopke Hoekstra acknowledged that the decision reflected several considerations, including “the economics, the level playing fields, competition, whether it’s fair or unfair, carbon leakage and … diplomacy.”

More suspense on CORSIA: Although the Commission published a partial assessment of CORSIA — the U.N.’s carbon offsetting scheme and a cheaper alternative to the ETS — the full assessment, originally due by July 1, will now be released later this month. The partial assessment found that neither China nor the U.S. has adopted binding legislation to implement CORSIA. Nevertheless, the Commission decided to kick the can down the road until 2032, when it will carry out its next assessment of the U.N.

scheme.

Soft solution gets hard criticism: The Commission chose “a more tailored solution” over “extending [the ETS] to departing flights that has been one of the options,” an EU official said. Even so, the proposal drew criticism from multiple sides, including the U.N.’s International Civil Aviation Organization, which called the expanded ETS “inconsistent” with CORSIA. Read more from Tommaso [here](#) .

U.S.’s cold reaction: Sparing U.S. airlines did little to win Washington’s approval. “The United States remains deeply concerned about any expansion of the EU’s ETS,” a State Department spokesperson told our colleague Sara Schonhardt. “We are analyzing the European Commission’s proposal and will take appropriate steps as needed to protect American consumers and businesses,” the spokesperson added in an email.

Airline lobbies up in arms: Airline groups also rejected the Commission’s proposal, which IATA Director General Willie Walsh described as “a historic error.” Airlines for Europe likewise criticized the decision “to extend a regional system to a global problem, while there is still no guarantee that the money that passengers pay for ETS is reinvested into decarbonising aviation.”

Green NGOs against it too: Environmental groups also criticized the proposal, but for the opposite reason. According to Transport & Environment, the expanded ETS “still leaves 47 percent of European aviation exempt from carbon pricing and can only be considered a first step,” while extending the ETS to all departing flights would generate about €4.2 billion more in annual revenue than the Commission’s proposal, the NGO said .

We told you: The revised ETS scope was among the scenarios recently assessed by the think tank International Council on Clean Transportation (ICCT), which estimated that the Commission’s preferred option would increase annual ETS revenues to €5.6 billion from €4.3 billion under the current system, while expanding coverage to 79.4 million tons of CO2 emissions, up from 62.1 million tons.

“This compromise approach strikes a balance: the distance-based scope reduces the risk of leakage to convenient hubs in the Middle East like Istanbul or Dubai, while leaving out more politically fraught transatlantic routes,” said Nikita Pavlenko, ICCT aviation program director.

CARS

CHARGING INFRASTRUCTURE ON TRACK, T&E REPORT SAYS: The EU’s public charging infrastructure targets are being met in all member countries except Malta, a new report out today from green NGO Transport & Environment shows.

What’s this about: EU law requires countries to have at least 1.3 kilowatts of public charging capacity for every EV. Malta doesn’t meet that requirement, T&E says.

Tortoise or the hare: An additional law, however, requires fast charges to be installed every 60 kilometers along the EU’s main roads by 2025. This is where more member countries start to fall behind, particularly Spain and in Eastern Europe, the report finds. So far, 20 out of the 27 countries meet the 2027 targets.

CHINA CONTINUES TO DRAG DOWN AUTO SECTOR: Volvo reported its half-year earnings on Friday, revealing that its China sales are down 35 percent in the second quarter of this year compared with the same period in 2025. CEO Håkan Samuelsson told investors that China is “the most difficult region ... in the whole automotive industry but also for us. We are seeing our sales are heavily affected by the

severe market downturn.”

AVIATION

FARNBOROUGH AIRSHOW TAKES OFF: The Farnborough International Airshow (FIA) opens today with 1,636 exhibitors — 22 percent of them first-time participants — spread across 500,000 square meters, “equating to 78 football pitches or the footprint area of 1,350 Concordes or 630 Airbus A380s,” according to the organizers. More than 600 investors have confirmed their attendance at the biennial event, which alternates with the Paris Air Show.

Don’t be a stranger: Tommaso will be covering the airshow on the ground. Reach out if you’d like to catch up.

MARITIME

SHIPPING SETS ETS RED LINES: Europe’s shipping industry has cautiously backed the Commission’s overhaul of the EU carbon market for maritime transport, but two politically sensitive issues — the IMO review clause and carbon leakage through ports — are set to dominate negotiations in the coming months.

Money welcomed: European shipowners praised the Commission’s decision to earmark ETS revenues for maritime decarbonization at both EU and national level. It also welcomed the new Sustainable Maritime Alternative Propulsion mechanism and support for sustainable fuels produced in Europe and certain third countries.

The fuel challenge: The World Shipping Council likewise backed the proposal, arguing that reinvesting ETS revenues will help narrow the price gap between conventional and alternative marine fuels, which remain significantly more expensive than fossil fuels.

Not enough yet: The European Community Shipowners’ Association says the proposal should support a broader range of clean technologies, not just alternative fuels. ECSA also wants derogations for islands, outermost regions and ice-class vessels extended beyond 2035 and argues shipping should receive a larger share of ETS revenues over time.

The next battle: One shipping industry representative described the overall package as “cautiously positive,” saying Brussels had made meaningful progress on earmarking revenues and supporting fuels. But, he added, “more work” now lies ahead in both the Parliament and Council.

IMO under scrutiny: The biggest political ask concerns the relationship between the EU ETS and the International Maritime Organization’s emerging global carbon pricing framework. The Commission proposes avoiding double payments where both systems apply, but stops short of saying the EU would revisit its own rules if a global regime proves effective.

Industry wants more certainty: The shipping representative said the proposal should include a stronger review clause, allowing Brussels to assess the IMO framework and, if appropriate, withdraw overlapping EU measures. Without that signal, he argued, the legislation risks weakening the EU’s message in international negotiations.

Council challenge: The issue is likely to surface quickly in Council, where governments are beginning work on the file ahead of the next IMO meetings this fall. The EU has previously struggled to maintain a common position during negotiations on global shipping climate rules.

Ports next: Another likely flashpoint is the Commission's proposal to tighten the ETS' anti-evasion rules by expanding safeguards against carbon leakage through neighbouring non-EU transshipment hubs. Brussels says the changes are meant to reduce the risk of evasion while maintaining a level playing field, but the World Shipping Council warned the criteria could end up targeting port competitiveness rather than emissions.

A loophole fight: The same representative noted that transshipment provisions have already proved politically contentious and are likely to become one of the most heavily negotiated parts of the file, as governments and lawmakers may push to widen exemptions in negotiations.

What's next: The Commission has given the industry some of what it wanted on fuel support and ETS revenues. But if the initial reactions are any indication, the legislative battle is now shifting towards the EU's stance at the IMO and how far Brussels should go to prevent carbon leakage without creating new loopholes.

CHINA

BRUSSELS' TWO-TRACK CHINA STRATEGY: The European Commission is exploring trade measures including tariff-rate quotas and purchase agreements as it seeks to reduce Europe's dependence on Chinese suppliers in sensitive sectors, including the automotive industry, our colleague Camille Gijs reports.

Option 1 — Making Chinese options more costly: One option under discussion would use tariff-rate quotas or other tariff measures, where alternative suppliers exist, to make continued reliance on Chinese imports more costly, three people familiar with the talks told Camille.

Finding the right incentives: Discussions remain in their very early stages as the Commission figures out how to make its planned "diversification instrument" work in practice while respecting global trade rules. Two of the people stressed the design of the instrument was far from final. The European Commission declined to comment.

Prickly balance: Officials worry that requiring companies to source sensitive materials from at least three suppliers, as called for by Trade Commissioner Maroš Šefčovič, would create a significant administrative burden. They are examining whether tariff-rate quotas could provide an economic incentive for companies to diversify more quickly.

Option 2 — Boosting EU exports: Another leg of the EU's strategy to reduce the eye-watering deficit with China will be to look at ways for Beijing to boost its imports of European goods, for instance thanks through purchasing agreements.

PIT STOPS

Volkswagen CEO Oliver Blume will go before the automakers' works council at the end of August to answer questions about potential layoffs and factory closures.

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